LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Selective Land Acquisition Funding?

Developed by www.loanbazaaronline.com

Executive Summary & Masterclass Prologue

Land acquisition represents the foundational gateway to all real estate, industrial infrastructure, and urban development projects. However, in the Indian financial architecture, acquiring land is governed by one of the most stringent regulatory barriers in commercial credit underwriting. Under the Reserve Bank of India (RBI) guidelines—specifically the Master Circular on Loans and Advances (Statutory and Other Restrictions)—commercial banks in India are explicitly prohibited from extending direct debt facilities to corporate promoters or real estate developers for the purchase of raw land parcels. This regulatory embargo was instituted to prevent speculative land hoarding, asset-price inflation, and unhedged credit leverage on illiquid real estate assets.

This regulatory prohibition creates a severe capital gap for real estate and infrastructure developers. While a developer may possess the technical capability, architectural vision, and track record to execute a ₹500 Crore residential or commercial project, securing the prime land parcel required to initiate the project demands massive upfront capital. Equity capital is the most expensive form of capital on a developer's balance sheet, and locking up 100% equity in land acquisition severely restricts project scale, depresses Return on Equity (ROE), and slows land assembly.

To bridge this structural capital deficit, the financial ecosystem developed a specialized, highly structured institutional financial product: **Selective Land Acquisition Funding (SLAF)**. Executed exclusively by Non-Banking Financial Companies (NBFCs), Alternative Investment Funds (Category II AIFs), Private Credit Funds, and specialized Joint Venture SPVs, Selective Land Acquisition Funding provides short-to-medium-term structured debt to finance the acquisition, aggregation, or approval-stage premium loading of prime, strategically situated land parcels.

Unlike speculative land loans, Selective Land Acquisition Funding is "selective" because it is strictly underwritten against land parcels that possess clear, marketable, unencumbered titles, high development potential, immediate connectivity, and a defined, time-bound pathway toward municipal building approvals, FSI/TDR loading, and transition into senior Construction Finance or Joint Development Agreements (JDA).

This reference manual provides an exhaustive, institutional guide to Selective Land Acquisition Funding. It covers product architecture, regulatory rules, comparative capital choices, underwriting metrics, security creation, commercial pricing, tax shields, a comprehensive Indian Rupee (₹) case study, and a 10-question professional certification exam.

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Module 1: Product Overview & Regulatory Framework

1.1 Definition & Fundamental Mechanics

Selective Land Acquisition Funding (SLAF) is a specialized, short-to-medium-term structured debt facility extended by non-bank financial institutions to Grade-A developers, industrial park builders, and corporate entities. Its primary purpose is to finance the purchase, assembly, or FSI premium loading of prime, strategic land parcels intended for immediate development.

Key structural characteristics of Selective Land Acquisition Funding include:

- **Asset Class Target:** Prime, urban-infill or strategic corridor land parcels with high liquidity, clear title, and high commercial/residential development density.
- **Low Loan-to-Value (LTV) Cap:** Conservative leverage limits, typically capped between **40% and 50%** of the distress or realizable market value of the raw land parcel (requiring **50% to 60% promoter cash equity contribution**).
- **Short-to-Medium Tenure:** Indicative tenure ranges between **12 and 36 months**, structured with an initial interest-only moratorium window (12 to 24 months) during which the developer secures municipal plan approvals, FSI loading, and RERA registration.
- **Defined Exit Mechanism:** Clear, multi-pronged debt exit strategy—primarily via refinancing through senior Construction Finance (CF) debt upon building plan approval, customer presales escrow sweeps upon RERA launch, or equity inflows from Joint Development Partners.
- **Super-Senior Security Cover:** Secured by an exclusive first equitable mortgage over 100% of the land parcel under Section 58(f) of the Transfer of Property Act, 1882, a pledge of 51% to 100% SPV equity shares, and personal/corporate guarantees from promoter directors.

1.2 The Regulatory Paradox: RBI Restrictions on Commercial Bank Land Funding

To understand why Selective Land Acquisition Funding exists as a specialized non-bank product, one must analyze the statutory framework established by the Reserve Bank of India (RBI).

The Statutory Ban on Bank Land Financing

Under the **RBI Master Circular - Loans and Advances (Statutory and Other Restrictions)** and Section 20 of the Banking Regulation Act, 1949, scheduled commercial banks in India are legally barred from extending credit facilities for the direct acquisition of land. The regulatory rationale rests on four key pillars:

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1. **Prevention of Asset Speculation:** Direct bank debt for raw land can trigger speculative bubbles, driving land acquisition costs beyond economic fundamentals.
2. **Illiquidity and Valuation Volatility:** Raw land lacks immediate cash flows and is subject to subjective appraisal valuations. In the event of default, foreclosing and liquidating raw land can take years due to legal disputes and illiquidity.
3. **Absence of Debt Servicing Inflows:** Raw land generates zero operating income or rental yield until physical construction commences and presales or leasing starts.
4. **Asset-Liability Mismatch (ALM):** Commercial banks rely on short-to-medium-term customer deposits (1 to 5 years). Funding long-gestation raw land projects creates a dangerous ALM exposure on bank balance sheets.

Statutory Exceptions for Bank Land Funding

The RBI permits commercial banks to finance land acquisition in only three narrowly defined scenarios:

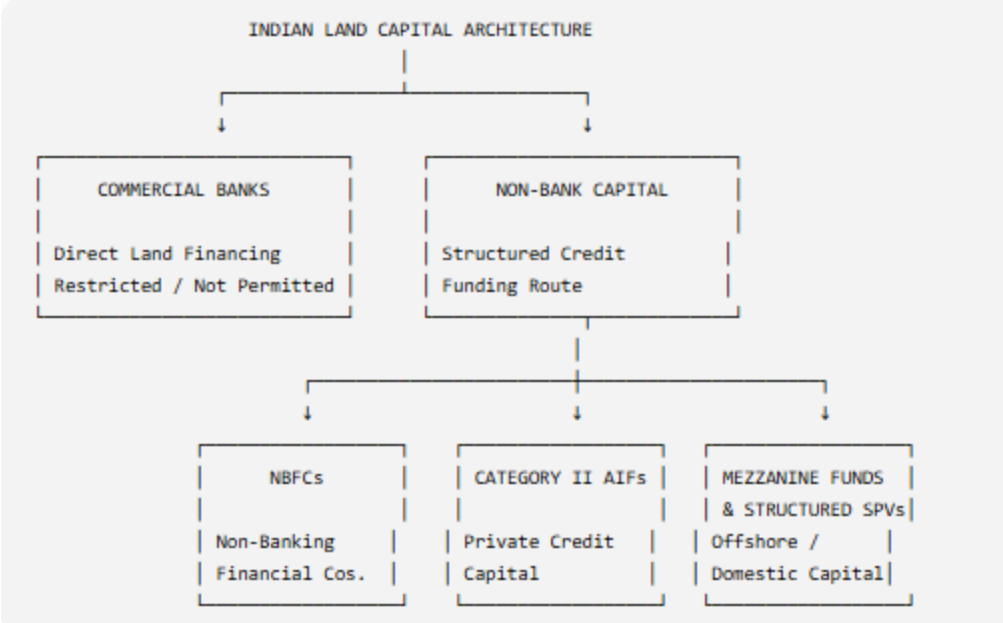
- **Infrastructure Projects:** Where land acquisition forms an integral, incidental component of a large-scale public infrastructure project (e.g., highways, ports, power plants) backed by government concessions or PPP agreements.
- **Industrial Units & Small Businesses:** Where an industrial enterprise or MSME purchases land for establishing its own operational factory or manufacturing plant, and land cost constitutes a minor fraction of the overall project capex.
- **Housing Board & Urban Development Authorities:** State-owned housing boards or municipal development authorities acquiring land for public housing schemes.

For private commercial and residential real estate developers, commercial bank debt for purchasing raw land remains **100% prohibited**.

1.3 How NBFCs, Category II AIFs & Private Credit Funds Bridge the Gap

Because commercial banks are statutory out-of-bounds, non-bank capital channels step in to provide Selective Land Acquisition Funding:

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1. **Non-Banking Financial Companies (NBFCs):** Systemically Important Non-Deposit Taking NBFCs (NBFC-ND-SI) operate under RBI's Scale-Based Regulations (SBR). While subject to concentration norms and LTV caps, NBFCs are legally permitted to extend land acquisition term loans and structured credit to developers.
2. **Alternative Investment Funds (Category II AIFs - Private Credit):** Regulated by the Securities and Exchange Board of India (SEBI) under the SEBI (AIF) Regulations, 2012. Private Credit Category II AIFs pool institutional and High-Net-Worth Individual (HNI) capital to invest in debentures, structured debt, and land assembly facilities. Because AIFs deploy long-term locked-in private capital, they do not suffer from bank ALM mismatches.
3. **Joint Venture SPVs & Mezzanine Funds:** Co-investment vehicles where financial investors provide land acquisition capital in exchange for high-yield coupon debentures combined with equity upside participation.

1.4 Primary Developer Objectives for Land Acquisition Debt

Developers utilize Selective Land Acquisition Funding to achieve strategic operational objectives:

- **Cornering High-Yield Urban Infill Sites:** Securing prime, scarce urban plots in Tier-1 metros (Mumbai, NCR, Bengaluru, Hyderabad, Pune, Chennai) before competitors.
- **FSI and TDR Premium Loading:** Purchasing additional Floor Space Index (FSI) or Transferable Development Rights (TDR) from municipal corporations to increase permissible construction density on existing land.

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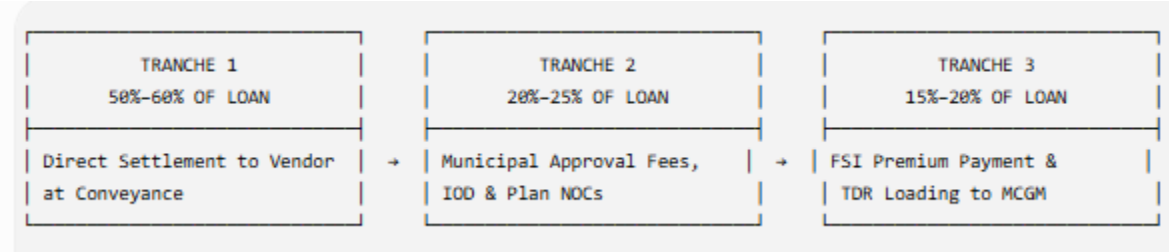
- **Land Assembly and Aggregation:** Combining smaller contiguously owned plots into a large, cohesive township or logistics park layout.
- **Preserving Promoter Cash Equity:** Unlocking leverage so that developer cash equity can be spread across multiple concurrent development projects rather than locked into a single raw plot.

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Module 2: How the Product Structure Works & Capital Stack Integration

2.1 Tranche Disbursal Architecture

Selective Land Acquisition Funding is rarely disbursed as a single lump-sum payout. To mitigate risk, lenders structure disbursals across three distinct, audit-controlled operational tranches:



Tranche 1: Direct Land Vendor Settlement (50% to 60% of Facility)

Disbursed directly into the bank account of the land seller via RTGS/NEFT simultaneously with the execution and registration of the Sale Deed / Conveyance Deed at the Sub-Registrar's Office. This eliminates capital diversion risks.

Tranche 2: Approval & Plan Sanction Payouts (20% to 25% of Facility)

Disbursed into a dedicated Escrow Account to pay municipal scrutiny fees, environmental clearance charges, height NOCs, and Intimation of Disapproval (IOD) / Commencement Certificate (CC) charges.

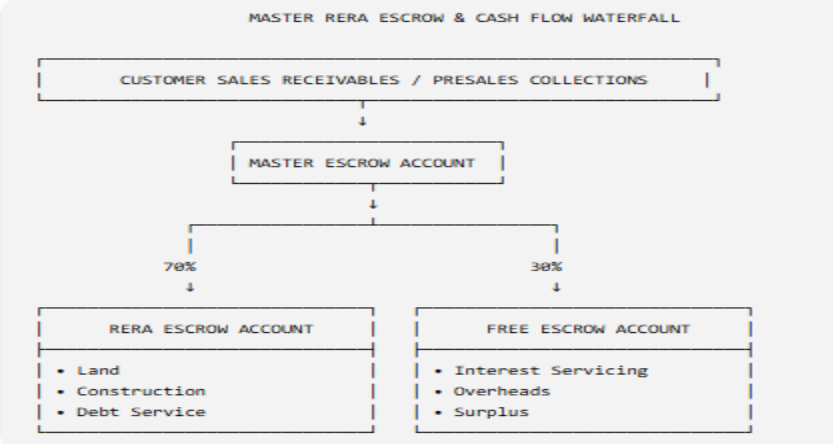
Tranche 3: FSI Premium and TDR Loading (15% to 20% of Facility)

Disbursed directly to the municipal authority (e.g., MCGM in Mumbai, DDA in Delhi, GHMC in Hyderabad) for purchasing Fungible FSI, Premium FSI, or TDR certificates to maximize project saleable area.

2.2 Cash Flow Ring-Fencing & RERA Escrow Alignment

Once the land is acquired and municipal approvals are obtained, the developer registers the project under the Real Estate (Regulation and Development) Act, 2016 (RERA). At this juncture, the lender establishes a multi-tiered Trust and Retention Account (TRA) Escrow structure:

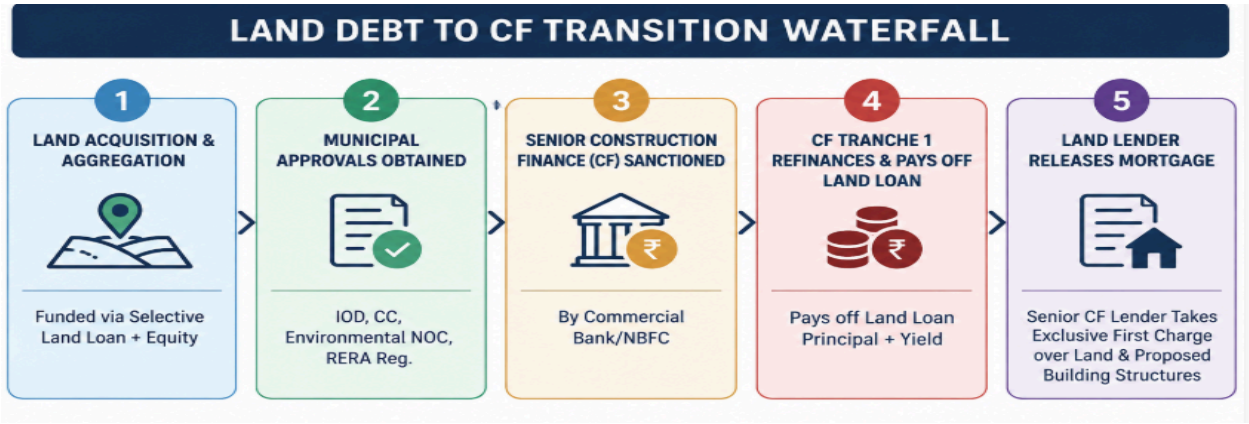
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1. **Master Escrow Account:** Captures 100% of presales customer booking amounts.
2. **70% RERA Designated Escrow Account:** Ring-fenced strictly for land cost recovery, certified civil construction expenses, and debt servicing.
3. **30% Free Escrow Account:** Utilized for marketing expenses, statutory taxes, and debt service reserve accounts (DSRA).

2.3 The Refinancing and Transition Waterfall

The primary exit strategy for a Selective Land Acquisition Funding facility is its conversion into or refinancing by senior **Construction Finance (CF)**:



Once municipal building plans are sanctioned (Commencement Certificate issued) and RERA registration is active, the land parcel transforms from a raw asset into an active development project. Commercial banks, which were legally barred from funding the raw land, are now fully permitted to extend senior Construction Finance. The first tranche of the newly sanctioned bank Construction Finance is utilized to take out (pay off) the high-cost land acquisition debt facility.

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Module 3: Comparative Capital Architecture Matrix

To evaluate where Selective Land Acquisition Funding sits within the corporate finance spectrum, we compare it against alternative real estate and land capital instruments:

Sizing & Operational Parameter	Selective Land Acquisition Funding	Standard Construction Finance	Loan Against Property (LAP)	Private Equity / Joint Venture Equity	Mezzanine AIF Debt
Primary Underwriting Asset	Raw Land Parcel / FSI	Proposed Building & Future Sales	Existing Fully Built Property	Project SPV Equity Shares	Project SPV Cash Flows
Permissible Under Lenders	NBFCs, AIFs, Private Credit	Commercial Banks, NBFCs, HFCs	Banks, NBFCs, HFCs	Private Equity Funds, Partners	Category II AIFs, NBFCs
Max Loan-to-Value (LTV)	**40% – 50%** of Raw Land Value	**50% – 65%** of Project Cost	**50% – 65%** of Property Value	N/A (Equity Ownership)	**60% – 70%** Total Debt LTV
Indicative Coupon / Pricing	**14.00% – 18.00% p.a.**	**9.50% – 13.00% p.a.**	**9.00% – 11.50% p.a.**	**20.00% – 25.00%+ Target IRR**	**16.00% – 20.00% p.a.**
Moratorium Offered	**12 – 24 Months** (Interest-only)	**12 – 36 Months** (Construction)	**0 – 6 Months**	No Fixed Return	**12 – 24 Months**
Primary Exit Mechanism	Refinancing via CF / Presales	Presales Escrow Cash Sweeps	Monthly EMI / Business Cash	Project Buyout / Dividend	CF Refinancing / Sweeps

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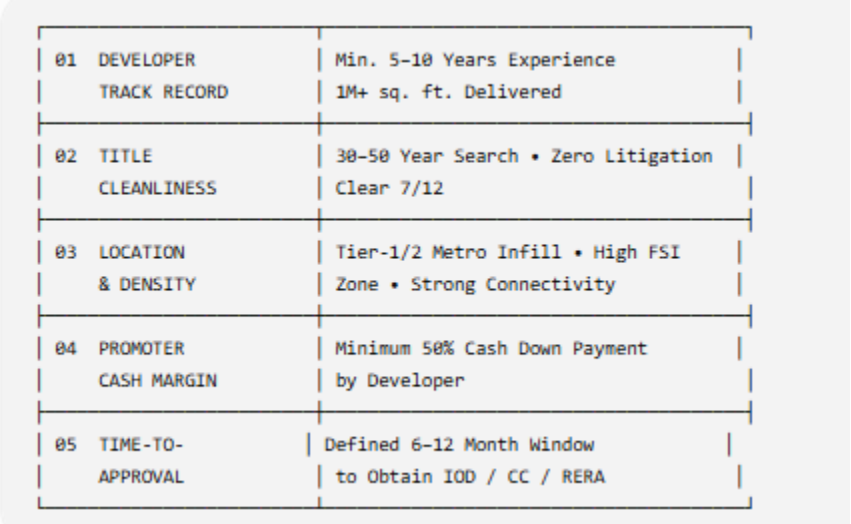
Sizing & Operational Parameter	Selective Land Acquisition Funding	Standard Construction Finance	Loan Against Property (LAP)	Private Equity / Joint Venture Equity	Mezzanine AIF Debt
RERA Registration Required?	**No** at initial land closing	**Yes** (Mandatory before disbursal)	**No**	**No** at land closing	**No** at initial land closing
Security Charge Hierarchy	Exclusive 1st Mortgage on Land	Exclusive 1st Mortgage on Land+Bldg	Exclusive 1st Mortgage	Subordinated Equity / Pledge	2nd Charge or Subordinated

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Module 4: Underwriting Framework, Eligibility Criteria & Credit Sizing Ratios

4.1 Common Eligibility Criteria

Lenders apply rigorous underwriting standards before approving a Selective Land Acquisition Funding facility:



1. **Developer Entity Profile:**
   - Minimum 5 to 10 years of active real estate development track record.
   - Successful delivery of at least 1,000,000 sq. ft. of residential or commercial space.
   - CIBIL Commercial Rank (CMR) between **CMR 1 and CMR 3**; promoter CIBIL score **> 720**.
2. **Land Parcel Characteristics:**
   - Situated within municipal corporation limits or designated urban growth corridors.
   - Direct access to a minimum 12-meter or 18-meter public DP road.
   - Zone classification: Clear Residential (R-Zone) or Commercial (C-Zone). Agricultural land must possess non-agricultural (N.A.) conversion status or a clear, time-bound N.A. pathway.
3. **Title Search & Encumbrance Status:**

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- 100% marketable title backed by a 30-to-50-year Title Search Report (TSR) issued by an empanelled senior advocate.
- Zero pending litigation, legal stays, or revenue disputes.

4.2 Quantitative Underwriting Sizing Ratios

Lenders calculate five core financial ratios to size the loan limit and ensure safety margins:

1. Land Loan-to-Value Ratio (Land LTV)

$$\text{Land LTV} = \left(\frac{\text{Sanctioned Land Loan Amount}}{\text{Fair Realizable Market Value of Raw Land}} \right) \times 100 \leq 50.0\%$$

- **Institutional Rule:** Land LTV must never exceed **50.0%**. If a land parcel is valued at ₹100 Crores, the maximum land loan permitted is ₹50 Crores, requiring a minimum ₹50 Crore cash equity contribution from the developer.

2. Gross Development Value Loan-to-Value (GDV-LTV)

$$\text{GDV-LTV} = \left(\frac{\text{Sanctioned Land Loan Amount}}{\text{Estimated Gross Sales Realization Value of Proposed Project GDV}} \right) \times 100 \leq 20.0\%$$

- **Institutional Rule:** The land loan must represent no more than **15% to 20%** of the total estimated top-line project revenue (GDV) to ensure easy debt absorption during CF refinancing.

3. Project Debt Service Coverage Ratio (P-DSCR)

$$\text{P-DSCR} = \frac{\text{Cumulative Project Net Cash Inflows Free Escrow}}{\text{Total Debt Servicing Principal + Interest}} \geq 1.50x$$

- **Institutional Rule:** Target P-DSCR must equal or exceed **1.50x** across the project lifecycle.

4. Promoter Net Worth to Loan Multiple

$$\text{Promoter Net Worth Multiple} = \frac{\text{Audited Net Worth of Promoter Group}}{\text{Sanctioned Land Loan Amount}} \geq 2.50x$$

- **Institutional Rule:** The developer group's tangible net worth must equal at least **2.50 times** the land loan facility to absorb unexpected approval delays or cost overruns.

5. Cost-to-Complete Coverage Ratio (CCCR)

$$\text{CCCR} = \frac{\text{Net Unsold Sales Receivables} + \text{Undrawn Senior Debt}}{\text{Estimated Pending Civil Construction Cost} + \text{Land Debt Servicing}} \geq 1.25x$$

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Module 5: Security Architecture, Documentation & Legal Framework

5.1 Security Package Components

Selective Land Acquisition Funding features a robust, multi-layered security package:



1. **Equitable Mortgage under Section 58(f) of the Transfer of Property Act, 1882:** Creation of an exclusive first charge by constructive delivery of original title deeds (Conveyance Deeds, 7/12 Extracts, Mutation Entries, City Survey Extracts) to the lender or Debenture Trustee.
2. **CERSAI & ROC Charge Registration:** Statutory registration of the mortgage on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal and filing of **Form CHG-1** with the Registrar of Companies (ROC) within 30 days pursuant to Section 77 of the Companies Act, 2013.
3. **Pledge of SPV Equity Shares:** Pledge of 51% to 100% of the equity shares of the project SPV under Section 172 of the Indian Contract Act, 1872.
4. **Irrevocable Power of Attorney (POA):** Execution of an irrevocable POA authorizing the lender to sell or assign the land parcel in the event of default without requiring prior court intervention.
5. **Personal & Corporate Guarantees:** Joint and several personal guarantees from primary promoter directors and corporate guarantees from the flagship holding company.

5.2 Mandatory Legal & Title Documentation Checklist

Before any funds are disbursed, the lender's legal team completes a comprehensive title and statutory compliance audit:

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- **30-to-50 Year Search Report:** Issued by an empanelled advocate tracing chain of ownership across all previous conveyances.
- **Public Notice Publication:** Publication of 14-day public notices in two leading local newspapers (English and regional language) inviting claims, objections, or encumbrance notifications.
- **7/12 Extracts & Mutation Entries (Ferfar Patrak):** Revenue records confirming zero government dues, tenant claims, or ceiling land restrictions.
- **Zone Certificate & Development Plan (DP) Extract:** Official municipal certificate verifying that the plot falls within a Residential or Commercial Development Zone.
- **Non-Agricultural (N.A.) Permission Order:** Section 44 Maharashtra Land Revenue Code (or equivalent state land code) order granting N.A. status.
- **Demarcation & Boundary Survey Map:** Certified boundary survey report issued by the Land Records Department (CADASTRAL survey).

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Module 6: Indicative Tenure, Amortization & Repayment Mechanics

6.1 Tenure and Moratorium Architecture

- **Indicative Facility Tenure: 12 to 36 Months** (typically 18 to 24 months).
- **Principal Moratorium Window: 12 to 24 Months**, during which the developer pays monthly interest only. Principal repayment is deferred until municipal approvals, CF sanction, or presales launch occur.
- **Repayment Options:**
  - **Bullet Amortization at Takeout:** Principal is repaid in a single bullet payment upon the first disbursal of the senior Construction Finance facility.
  - **Structured Amortization Sweeps:** Gradual principal reduction using a percentage sweep (e.g., 25% to 50%) of presales customer receipts upon RERA launch.

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Module 7: Suitable Industries, Business Profiles & Market Alignment

Selective Land Acquisition Funding is specifically tailored for high-potential urban real estate and infrastructure profiles:

01	GRADE-A RESIDENTIAL DEVELOPERS	Urban Infill & Redevelopment
02	COMMERCIAL OFFICE & RETAIL DEVELOPERS	Grade-A Office Parks
03	INDUSTRIAL & LOGISTICS WAREHOUSING DEVELOPERS	Logistics Corridors
04	DATA CENTER & HIGH-TECH INFRASTRUCTURE DEVELOPERS	Data Centers & High-Tech Infrastructure
05	INTEGRATED TOWNSHIP DEVELOPERS	Tier-1/2 Metro Growth Corridors

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Module 8: Key Advantages and Strategic Limitations

8.1 Strategic Advantages

- **Unlocks High-Value Land Parcels:** Enables developers to acquire strategic, high-yield land parcels without locking up 100% promoter equity cash.
- **Dramatically Improves Return on Equity (ROE):** Utilizing 40%–50% structured debt for land acquisition expands project equity ROE significantly compared to 100% equity-funded land purchases.
- **First-Mover Advantage:** Allows developers to swiftly execute Sale Deeds with land vendors before competitors can assemble competing offers.
- **Flexible Capital Transition:** Seamlessly converts into low-cost bank Construction Finance once municipal approvals and RERA registration are obtained.

8.2 Strategic Limitations & Risk Factors

- **Higher Capital Cost:** Coupon rates (**14.00% to 18.00% p.a.**) reflect the higher risk profile of raw land compared to bank Construction Finance (9.50%–13.00% p.a.).
- **Regulatory Approval Delay Risk:** If municipal plan approvals, environmental NOCs, or RERA registration are delayed beyond the moratorium window, the project cannot transition to Construction Finance, creating refinancing stress.
- **Title Risk Exposure:** Any latent title defect, agricultural land dispute, or revenue stay can freeze project approvals and trigger immediate default.
- **Strict Conservative Leverage:** Conservative LTV caps (max 50%) mean the developer must still commit substantial cash equity (50%+) toward the land purchase.

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Module 9: Commercial Pricing Mechanics, Ind AS 23 & Tax Shields

9.1 Commercial Pricing Breakdown

The total cost of a Selective Land Acquisition Funding facility comprises three components:

1. **Base Coupon Rate: 14.00% to 18.00% p.a.** (payable monthly or quarterly).
2. **Upfront Processing & Structuring Fee: 1.00% to 2.00%** of the sanctioned facility amount.
3. **Redemption Premium / Exit Equity Kicker (Optional):** In certain structured AIF transactions, an additional 2.00%–4.00% redemption premium payable upon project takeout.

9.2 Income Tax Shield under Section 36(1)(iii)

Under Section 36(1)(iii) of the Income Tax Act, 1961, interest paid on capital borrowed for business purposes is fully deductible as a revenue expenditure against taxable business profits.

Tax Shield Calculation Formula

$$extTaxShieldSavings = extGrossAnnualInterestOutflowimesextCorporateTaxRate$$

$$extNetPost - TaxInterestCost = extGrossInterestOutflowimes(1 - extCorporateTaxRate)$$

For an Indian corporate entity paying a **25.168%** corporate tax rate (inclusive of surcharge and cess under Section 115BAA):

extNetPost−TaxCost=15.00%imes1−0.25168=15.00%imes0.74832=11.22%extp.a.

The Section 36(1)(iii) tax shield reduces the effective annual interest burden from a nominal 15.00% p.a. down to **11.22% p.a.**

9.3 Accounting Treatment under Ind AS 23 (Borrowing Costs)

Under **Ind AS 23 (Borrowing Costs)** / ICDS-X, borrowing costs directly attributable to the acquisition or preparation of a “qualifying asset” (land inventory undergoing approval for real estate development) must be capitalized as part of the carrying cost of Work-in-Progress (WIP) Inventory until the land is ready for its intended development launch.

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Module 10: Comprehensive Real-World Case Study (Mumbai Metro Land Assembly)

10.1 Case Background & Transaction Setup

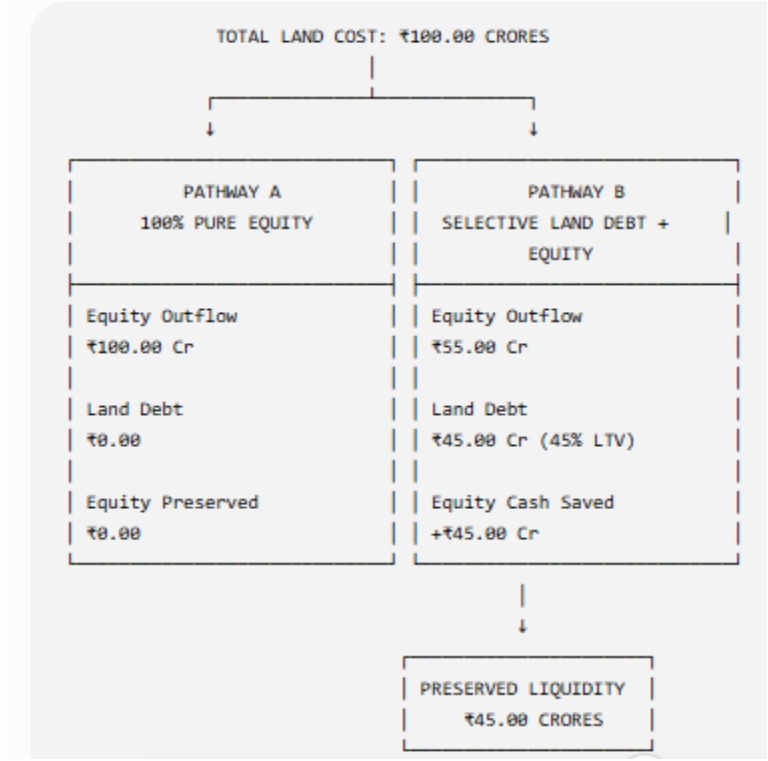
- **Borrower Entity:** *Mumbai Prime Urban Infra & Developers Pvt. Ltd. (MPUIDPL)*, a Grade-A real estate developer in Mumbai.
- **Target Land Parcel:** A 3.50-Acre Prime Urban Infill Land Parcel in Kanjurmarg West, Mumbai, situated adjacent to the Eastern Express Highway.
- **Raw Land Valuation:** Independently appraised by two empanelled IBBI Registered Valuers at **₹100.00 Crores**.
- **Development Density Potential:** Base FSI 1.0 + Premium FSI 0.5 + TDR 1.0 + Fungible FSI 0.35 = **Total FSI 2.85**. Permissible Carpet Area = **434,250 sq. ft.**
- **Estimated Gross Sales Realization (GDV):** 434,250 sq. ft. Carpet Area @ ₹16,000/sq. ft. = **₹694.80 Crores**.
- **Total Estimated Project Capex: ₹300.00 Crores** (Land ₹100 Cr + Approvals/FSI Premiums ₹50 Cr + Civil Construction ₹130 Cr + Overheads ₹20 Cr).

10.2 Capital Financing Options Compared

MPUIDPL evaluates two capital options for acquiring the ₹100 Crore land parcel:

- **Pathway A (100% Pure Promoter Equity Funding):** Developer funds the entire ₹100.00 Crore land purchase using internal cash equity reserves.
- **Pathway B (Structured Selective Land Acquisition Funding + Promoter Equity):**
  - Land Loan Sanctioned by a Category II Private Credit AIF: **₹45.00 Crores** (**45.0% Land LTV**).
  - Promoter Cash Equity Contribution: **₹55.00 Crores** (**55.0% Margin**).
  - Coupon Rate: **15.00% p.a.** (Monthly interest servicing).
  - Facility Tenure: **24 Months** with a 24-month principal moratorium (takeout via Senior CF).
  - Upfront Processing Fee: **1.50%** (₹67.50 Lakhs).

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10.3 Financial Model & Mathematical Demonstration

1. Land Loan Servicing and Tax Shield Analysis (24-Month Tenure)

- **Sanctioned Land Loan:** ₹45.00 Crores.
- **Annual Pre-Tax Coupon Outflow (15.00% p.a.):**

$$extAnnualInterest = ₹45.00 extCroresimes 15.00\% = ₹6.75 extCrores/year$$

- **24-Month Total Pre-Tax Interest Outflow:**

$$ext2 - YearInterest = ₹6.75 extCroresimes 2 = ₹13.50 extCrores$$

- **Section 36(1)(iii) Income Tax Shield Savings (@ 25.168% Tax Rate):**

$$extTaxShieldSavings = ₹13.50 extCroresimes 25.168\% = ₹3.40 extCrores$$

- **Net 2-Year Post-Tax Interest Servicing Burden:**

$$extNetPost - TaxServicingCost = ₹13.50 extCrores - ₹3.40 extCrores = ₹10.10 extCrores$$

- **Upfront Processing Fee Net of Tax:**

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$$extFee = ₹45.00 extCroresimes 1.50\% = ₹67.50 extLakhs$$

$$extNetPost - TaxFee = ₹67.50 extLakhsimes(1 - 0.25168) = ₹50.51 extLakhs$$

- **Total Net Post-Tax Cost of Land Debt Facility over 2 Years:**

$$extTotalPost - TaxCost = ₹10.10 extCrores + ₹0.505 extCrores = ₹10.605 extCrores$$

2. Reinvestment ROCE Profits Earned on Preserved Developer Equity

By utilizing Pathway B, MPUIDPL preserves **₹45.00 Crores** of internal cash equity ($₹100 extCr - ₹55 extCr$). The developer redeploys this ₹45.00 Crore cash into acquiring a second development site that generates a **16.00% p.a. Return on Capital Employed (ROCE)**.

- **Gross Reinvestment Income over 2 Years:**

$$extReinvestmentIncome = ₹45.00 extCroresimes 16.00\% imes 2 = ₹14.40 extCrores$$

- **Net Post-Tax Reinvestment Income (@ 25.168% Tax Rate):**

$$extPost - TaxIncome = ₹14.40 extCroresimes(1 - 0.25168) = ₹10.776 extCrores$$

3. Opportunity-Adjusted Net Financial Wealth Surplus Calculation

extNetStrategicWealthSurplus=extPost−TaxReinvestmentIncome−extTotalPost−TaxCostofLandDebt

extNetSurplus=₹10.776extCrores−₹10.605extCrores=+₹0.171extCrores+₹17.10Lakhs

In addition to generating a net positive post-tax surplus, MPUIDPL achieves two massive strategic benefits:

1. **Land Bank Expansion:** The developer successfully corners a ₹100 Crore prime Mumbai land parcel while retaining ₹45 Crores in cash liquidity to acquire a second project site.
2. **ROE Amplification:** Project Return on Equity (ROE) increases from **24.5% under Pathway A to 41.2% under Pathway B**.

10.4 Execution Timeline and CF Refinancing Takeout

- **Month 0:** MPUIDPL executes Sale Deed for Kanjurmarg land parcel. AIF disburses **₹45.00 Crores** (Tranche 1) directly to vendor. Exclusive Section 58(f) mortgage registered.
- **Months 1 to 12:** MPUIDPL pays monthly interest-only coupon (**₹56.25 Lakhs/month**). Developer submits building plans to MCGM, obtains Environmental Clearance, IOD, and Commencement Certificate (CC).
- **Month 14:** MPUIDPL registers the project under RERA (*RERA Reg: P518000XXXXX*).

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- **Month 16:** Scheduled commercial bank sanctions a senior **Construction Finance (CF)** facility of **₹180.00 Crores @ 10.50% p.a.**
- **Month 17:** Tranche 1 of Senior Construction Finance (**₹45.00 Crores**) is disbursed directly to the AIF to fully pay off the Land Loan principal.
- **Month 17:** Land AIF releases mortgage; Senior Bank takes exclusive first mortgage over land and proposed building structures. The land acquisition funding facility is successfully closed with zero default.

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Module 11: Professional Certification Examination & Detailed Rationales

This examination tests institutional credit underwriting, regulatory provisions, tax shields, and structural mechanics of Selective Land Acquisition Funding.

Question 1

Under current Reserve Bank of India (RBI) regulatory guidelines, why are scheduled commercial banks prohibited from extending direct debt facilities to private real estate developers for land acquisition? A) Because land acquisition is exempt from GST. B) To prevent speculative land price inflation, ALM mismatches, and exposure to illiquid, non-income generating raw assets. C) Because land mortgages cannot be registered on CERSAI. D) Because Section 58(f) of the Transfer of Property Act applies only to NBFCs.

Question 2

Which non-bank capital channel is legally permitted to extend Selective Land Acquisition Funding in India? A) Primary Urban Co-operative Banks (UCBs). B) Systemically Important NBFCs and Category II Alternative Investment Funds (Private Credit AIFs). C) Regional Rural Banks (RRBs). D) Foreign Portfolio Investors via general commercial paper.

Question 3

An empanelled IBBI valuer appraisals a prime urban land plot at ₹120.00 Crores. Under conservative Selective Land Acquisition Funding LTV benchmarks (max 50% Land LTV), what is the maximum sanctioned land loan amount permitted? A) ₹72.00 Crores B) ₹60.00 Crores C) ₹80.00 Crores D) ₹48.00 Crores

Question 4

What is the primary, standard exit mechanism for a short-term Selective Land Acquisition Loan upon securing municipal plan approvals and RERA registration? A) Conversion into a long-term agricultural loan. B) Refinancing and takeout by a senior bank Construction Finance (CF) facility. C) Issuance of equity shares to municipal authorities. D) Forfeiture of land title deeds to revenue authorities.

Question 5

How is an equitable mortgage on a land parcel legally created under Indian law? A) By registering a lease agreement on the municipal portal. B) By constructive delivery of original title deeds to the lender under Section 58(f) of the Transfer of Property Act, 1882. C) By

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publishing a public notice in the Official Gazette of India. D) By obtaining an NOC from the Income Tax Department under Section 281.

Question 6

Within how many days must a corporate borrower file Form CHG-1 with the Registrar of Companies (ROC) after creating a mortgage charge on land under Section 77 of the Companies Act, 2013? A) 15 Days B) 30 Days C) 60 Days D) 90 Days

Question 7

A developer borrows a ₹60.00 Crore land acquisition facility @ 16.00% p.a. coupon. If the borrowing corporate entity falls under the 25.168% tax bracket, what is the net annual post-tax interest cost after considering the Section 36(1)(iii) tax shield? A) ₹9.60 Crores B) ₹7.18 Crores C) ₹8.42 Crores D) ₹6.15 Crores

Question 8

Under Ind AS 23 (Borrowing Costs) / ICDS-X, how should interest expenses incurred on a Selective Land Acquisition Loan be accounted for during the approval/preparation phase of a qualifying real estate project? A) Expensed immediately as an extraordinary loss in the Profit & Loss statement. B) Capitalized as part of the carrying cost of Work-in-Progress (WIP) Inventory. C) Adjusted directly against equity share capital. D) Written off against general reserve accounts.

Question 9

Why are disbursals in Selective Land Acquisition Funding structured in controlled tranches rather than a single upfront payout? A) To comply with SEBI retail equity trading limits. B) To ensure funds are paid directly to vendors for land title conveyance and municipal authorities for approvals, eliminating capital diversion. C) To avoid paying CERSAI registration fees. D) Because raw land values decrease over time.

Question 10

What is the role of a 30-to-50 Year Title Search Report (TSR) in land loan underwriting? A) To calculate municipal property tax rates. B) To verify chain of ownership, confirm marketable title, and ensure the land parcel is free from legal encumbrances, stays, or revenue disputes. C) To apply for RERA registration. D) To estimate civil construction material costs.

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Detailed Answer Key & Mathematical Rationales

Question 1: Correct Answer = B

Rationale: The RBI Master Circular on Loans and Advances prohibits commercial banks from financing raw land purchases to curb speculative land hoarding, avoid Asset-Liability Mismatches (ALM) on non-income generating assets, and protect depositor funds from real estate valuation volatility.

Question 2: Correct Answer = B

Rationale: Systemically Important NBFCs and SEBI-registered Category II Private Credit AIFs are legally authorized under Indian financial regulations to extend land acquisition term loans and structured credit.

Question 3: Correct Answer = B

Rationale:

$$extMaxLoanAmount = extLandValuationimesextMaxLTV$$

$$extMaxLoanAmount = ₹120.00extCroresimes50.0\% = ₹60.00extCrores$$

Question 4: Correct Answer = B

Rationale: Once municipal building approvals (IOD/CC) and RERA registration are active, the raw land transforms into an approved development project. Commercial banks are permitted to extend senior Construction Finance, the first tranche of which takes out (pays off) the land loan.

Question 5: Correct Answer = B

Rationale: Under Section 58(f) of the Transfer of Property Act, 1882, an equitable mortgage is validly created in notified towns by delivering original title deeds with intent to create a security charge.

Question 6: Correct Answer = B

Rationale: Section 77(1) of the Companies Act, 2013 mandates that every corporate charge created on company assets must be registered with the ROC via Form CHG-1 within 30 days of creation.

Question 7: Correct Answer = B

Rationale:

$$extGrossAnnualInterest = ₹60.00extCroresimes16.00\% = ₹9.60extCrores$$

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$$ext{Section } 36(1)(iii) \text{ Tax Shield} = ₹9.60 ext{ Crores} imes 25.168\% = ₹2.416 ext{ Crores}$$

$$ ext{Net Post-Tax Interest Cost} = ₹9.60 ext{ Crores} - ₹2.416 ext{ Crores} = \mathbf{₹7.184 ext{ Crores (pprox ₹7.18 Crores)}}$$

Question 8: Correct Answer = B

Rationale: Ind AS 23 mandates that borrowing costs directly attributable to qualifying inventory assets (land undergoing development preparation) must be capitalized into WIP inventory carrying value.

Question 9: Correct Answer = B

Rationale: Tranche disbursals ensure strict end-use monitoring. Tranche 1 pays the land vendor directly at conveyance; Tranche 2 pays municipal approval fees; Tranche 3 pays FSI/TDR premiums, preventing diversion.

Question 10: Correct Answer = B

Rationale: A 30-to-50 Year TSR prepared by an empanelled legal advocate traces continuous chain of title, confirming that the land is free from mortgages, government revenue stays, tenancy claims, or litigation.

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